

Tata Steel Ltd (TATASTEEL)

ROE	6.55%
ROCE	7.02%
CFO Quality	High Quality
Capital Allocation	Reinvestor

Strengths

- Strong free cash flow generation over 5 years signals healthy business fundamentals.
- Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
- Revenue contraction over consecutive years indicates demand weakness or market share loss.
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk.
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability.
- Return on equity below 10% suggests the business is generating weak shareholder returns.